INITIATIVE NO. 194 (I-194)

BALLOT LANGUAGE:

INITIATIVE NO. 194

A LAW PROPOSED BY INITIATIVE PETITION

I-194, if passed, limits the powers of artificial persons to those powers necessary or convenient as provided by law. These powers must exclude contributing anything of value to candidate elections, supporting or opposing political parties, or supporting or opposing state or local ballot issues. Artificial persons include non-profits, trusts, partnerships, corporations, trade associations, or unincorporated associations and includes all such entities doing business in Montana. Any violation of I-194 is punished by forfeiting all privileges to do business in Montana. Those privileges may be, but are not automatically, restored upon disgorgement and certification of compliance with I-194. I-194 does not apply to the distribution of news, commentary, or editorial content. I-194 also does not apply to the state of Montana, political subdivisions, individuals, political committees, or public corporations.

[] YES on Initiative I-194
[] NO on Initiative I-194

COMPLETE TEXT:

BE IT ENACTED BY THE PEOPLE OF THE STATE OF MONTANA:

NEW SECTION. **Section 1. Short title.** [Sections 1 through 10] may be cited as "The Montana Plan Act."

NEW SECTION. **Section 2. Findings and purpose.** (1) The people of the state of Montana find that all political power is inherent in the people and that corporations and other artificial persons are creations of statute that exist only by virtue of powers affirmatively extended by the state.

(2) The creation, continued existence, and enjoyment of charter privileges by an artificial person are not natural rights; they are conditional grants of legal status made by the state of Montana and accepted subject to the state's reserved authority to define, limit, revise, or withdraw the powers and privileges it confers.

(3) The people find that Montana law has historically included broad grants of powers to artificial persons, including powers described as necessary or convenient to lawful purposes, and that these broad formulations have more recently been construed to

include the legal capacity to expend money or anything of value to support or oppose the outcome of a vote of the electorate.

(4) The people find that, because the general grants of powers to artificial persons have been construed to include political spending power in a manner that does not reflect the will of the people, it is therefore necessary to enact [sections 1 through 10] to redefine those grants and make their limits explicit, so that the legal privileges conferred on artificial persons by the people through the state are not used to compromise the integrity of the people's political process.

(5) The people find that every artificial person formed under the laws of this state, or authorized to transact business or hold property in this state, has accepted its legal status and any charter privileges subject to the continuing authority of the state to define the scope of its powers, that an artificial person has not acquired a vested right to the continuation of a particular statutory grant of power, and that this principle is well established in law.

(6) The purposes of [sections 1 through 10] are to:

(a) establish that state-conferred legal status and charter privileges are granted to an artificial person only on the condition that the artificial person operate within the powers extended by the state;

(b) make explicit that political spending power is not among the powers extended to artificial persons, except as expressly provided by law for political committees;

(c) establish a single, uniform definition of the powers extended to artificial persons under [sections 1 through 10];

(d) provide clear and enforceable consequences for the exercise of political spending power not extended by the state; and

(e) leave wholly undisturbed the constitutional rights of natural persons.

NEW SECTION. **Section 3. Definitions.** As used in [sections 1 through 10], and solely for the purposes of defining the scope of artificial-person powers and the consequences that attach to acts outside that scope, the following definitions apply:

(1) "Artificial person" means an entity whose existence, legal status, or limited liability shield is conferred by the laws of the state of Montana, including an entity organized or existing under the laws of another jurisdiction that is authorized to transact business, is otherwise transacting business, or holds property in Montana. An entity organized or existing under the laws of another jurisdiction that directly or indirectly undertakes, finances, or directs the exercise of political spending power in the state of Montana is conclusively considered to be transacting business in this state for the purposes of [sections 1 through 10].

(2) “Artificial-person powers” means powers necessary or convenient to carry out lawful business, charitable, cooperative, or organizational purposes as provided by Montana law, excluding political spending power. Political spending power may not be deemed necessary or convenient under any circumstances.

(3) “Charter privilege” means any legal benefit that exists only because the state of Montana confers it on an artificial person, including limited liability, perpetual duration, succession in entity name, or any statutory limitation on personal liability.

(4) (a) “Political spending power” means the legal capacity to pay, contribute, or expend money or anything of value to support or oppose:

(i) a candidate, political party, or political committee in an election held in this state; or

(ii) any initiative, referendum, recall, constitutional amendment, charter amendment, or other question formally certified or submitted to the electors of this state or any political subdivision of the state.

(b) The term does not include the distribution of bona fide news, commentary, or editorial content unless the publishing entity is owned or controlled by a political party, a political committee, or a candidate.

(c) Political spending power may be exercised by political committees, as provided by law.

NEW SECTION. **Section 4. General rule -- political spending power not extended.** (1) Except as expressly provided by law for political committees, the state of Montana does not extend political spending power to an artificial person, and an artificial person subject to [sections 1 through 10] does not possess any legal capacity to expend money or anything of value to support or oppose the outcome of a vote of the electorate.

(2) The absence of political spending power under [sections 1 through 10] is a condition of state-conferred legal status and charter privileges. An artificial person that exercises political spending power not extended by the state acts outside the powers granted as a condition of that status.

NEW SECTION. **Section 5. Applicability.** (1) [Sections 1 through 10] apply to all artificial persons formed, organized, or existing under the laws of the state of Montana.

(2) [Sections 1 through 10] apply to an artificial person organized or existing under the laws of another jurisdiction that is authorized to transact business, is otherwise transacting business, or holds property in the state.

(3) [Sections 1 through 10] apply to any trust, statutory trust, business trust, or similar arrangement to the extent Montana law confers limited liability, perpetual duration, succession in name, or any other charter privilege by reason of that form.

(4) [Sections 1 through 10] do not apply to:

(a) natural persons acting solely in an individual capacity;

(b) the state of Montana or any agency, authority, or political subdivision of the State; or

(c) a public body corporate and politic expressly identified as corporate and politic by statute.

(5) [Sections 1 through 10] do not restrict the lawful activities of political committees organized under Montana law or federal law.

NEW SECTION. **Section 6. Exercise of political spending power beyond the scope of authority -- voidness -- nonratification.** (1) An act by an artificial person that constitutes an exercise of political spending power not extended by the state under [sections 1 through 10] is beyond the scope of authority and void.

(2) An act described in subsection (1):

(a) is void from the beginning;

(b) may not be ratified, validated, or given effect by consent, waiver, estoppel, reliance, course of dealing, or any other equitable doctrine; and

(c) creates no enforceable rights, obligations, or defenses.

(3) The character of an act that is beyond the scope of authority under this section arises solely from the absence of political spending power as a condition of state-conferred legal status and charter privileges.

NEW SECTION. **Section 7. Forfeiture of charter privileges -- reinstatement.** (1) An artificial person that exercises political spending power not extended by the state under [sections 1 through 10] forfeits all charter privileges as a matter of law.

(2) Charter privileges forfeited under subsection (1) include, without limitation:

(a) limited liability;

(b) perpetual duration;

(c) succession in entity name; and

(d) any statutory limitation on personal liability conferred by Montana law.

(3) Forfeiture under this section applies only to charter privileges conferred by Montana law. [Sections 1 through 10] do not purport to affect privileges conferred by the laws of another jurisdiction.

(4) An artificial person whose charter privileges are forfeited under this section may be reinstated only pursuant to procedures enacted or administered by the state and only upon:

(a) full disgorgement of all money or things of value expended, contributed, or transferred in the exercise of political spending power;

(b) certification of future compliance with [sections 1 through 10]; and

(c) satisfaction of any additional conditions the legislature or a designated state authority considers appropriate.

(5) Disgorgement under subsection (4)(a) is required regardless of whether the political spending supported or opposed a position that prevailed or failed in the outcome of a vote of the electorate.

NEW SECTION. **Section 8. Administration and enforcement.** (1) The secretary of state shall adopt rules and procedures necessary to implement and enforce [sections 1 through 10], including procedures governing forfeiture, reinstatement, disgorgement, certification of compliance, notice, and the opportunity to be heard consistent with due process.

(2) The attorney general has the authority and responsibility to bring actions to enforce [sections 1 through 10], including actions seeking declaratory relief, injunctive relief, disgorgement, and confirmation or enforcement of forfeiture.

(3) The authority granted under this section is in addition to any other enforcement authority provided by law.

NEW SECTION. **Section 9. Supersession of inconsistent law.** (1) The powers of an artificial person under Montana law are limited to artificial-person powers as defined in [section 3].

(2) A provision of Title 35, or any other law of this state may not be construed to extend political spending power to an artificial person except as expressly provided by law for political committees.

(3) A statutory grant of power, authority, or capacity that could otherwise be construed to include political spending power is superseded by [sections 1 through 10] and must be given no effect.

NEW SECTION. **Section 10. Effect on organizational documents.** A provision of articles of incorporation, articles of organization, partnership agreements, operating agreements,

bylaws, trust instruments, or other organizational documents purporting to grant or confer political spending power is void.

NEW SECTION. **Section 11. Savings Clause.** (1) [This act] does not invalidate, impair, or modify any contract, debt instrument, security, or other legal obligation lawfully entered into before [the effective date of [this act].

(2) [This act] does not authorize the exercise of political spending power after [the effective date of [this act].

NEW SECTION. **Section 12. Severability -- nonrevival.** (1) If a part of [this act] is invalid, all valid parts that are severable from the invalid part remain in effect. If a part of [this act] is invalid in one or more of its applications, the part remains in effect in all valid applications that are severable from the invalid applications.

(2) A power, privilege, or capacity withdrawn or not extended by [this act] may not be revived, reinstated, or implied by operation of law or judicial construction.

NEW SECTION. **Section 13. Codification instruction.** [Sections 1 through 10] are intended to be codified as a new chapter in Title 35, and the provisions of Title 35 apply to [sections 1 through 10].

NEW SECTION. **Section 14. Effective date.** If approved by the electorate, [this act] is effective January 1, 2027.

ARGUMENTS FOR I-194:

The Montana Plan, I-194, will end the ability of artificial persons (such as corporations, associations, unions) to spend to support or oppose candidates and ballot issues in Montana.

The 2024 presidential election year saw a total of $14.8 billion spent on federal campaigns: $9.5 billion on congressional races and $5.3 billion on the presidential race. In contrast, the entire general fund budget for the state of Montana in 2026 was $3.5 billion, less than a quarter of the amount of money spent on federal campaigns.

That amount of money alone makes it critically important to understand where that money is coming from and who is bankrolling campaigns.

Money spent to influence the decision of a voter without being required to disclose the original donor is referred to as “dark money.” The source is often concealed from the public - but not the politicians.

Anonymous “dark money” is typically used to pay for incessant digital ads, mailers and television that are intended, on the one hand, to negatively attack and “carpet bomb” an opposing candidate with grainy photographs and insinuations of corruption or incompetence; or, on the other hand, to elevate the opposing candidate whose alleged attributes and competencies are inflated but alleged to be indispensable to the existence of the country. Neither representation is completely accurate nor helpful for voters trying in good faith to determine the best candidate to serve the public good.

In the 2024 Montana Senate race, outside groups, including super PACs, spent $162.7 million on independent expenditures, including mailers, TV ads, and digital and social-media advertising. Just one “dark money” group alone, The Last Best Place PAC, sponsored approximately 39,000 ad airings in Montana, and neither Montana voters or candidates had any idea where its money came from. It had been intentionally shrouded in a tangled web to generate confusion and disarray among Montana voters.

Business corporations can transfer money directly to super PACs and other outside groups. In 2024, Koch Industries, for example, spent $49 million, $40 million of which went to Americans for Prosperity Action, which, in turn, spent money on Montana elections.

Artificial persons (such as business corporations, nonprofits, and unions) are neither constitutional nor human creatures. They are pure creations of state law. Montana grants them every power they have. And Montana has reserved the authority to modify those powers at any time, for any reason.

If I-194 is passed by the people, Montana will no longer grant artificial persons the power to spend in Montana's politics. It's that simple. No longer would anonymous "dark money" be allowed in Montana campaigns - every dollar would be from a human person, would be disclosed, and would be voluntary. If corporate officers and the great titans of business and industry decide to spend money to support a candidate or an issue, they'll have to do it the same way the rest of us do. They'll have to use their own money, observe contribution limits, comply with reporting requirements, and disclose their name.

Approval Committee: *Gary Buchanan, Marc Racicot*, *Raymond Jon Tester*

ARGUMENTS AGAINST I-194:

I-194 has nothing to do with protecting elections, removing money from politics, getting rid of the influence of money in politics, or addressing undisclosed dark money spending. Instead, it's a misguided, poorly drafted, authoritarian attempt to unconstitutionally restrict Montanans' free speech rights under the guise of targeting spending in elections—even though there isn't a single example provided of corporate election spending but examples abound of PAC and dark money spending that would continue to be allowed under I-194.

I-194 allows individuals to continue to spend unlimited amounts on elections and PAC and many dark money groups to operate just as they do now. But it would target small Montana businesses, churches, and community groups, and similar groups—referred to as "artificial persons" in the measure—even though these entities are just groups of individual Montanans. If such a group voices an opinion—whether by printing a pamphlet, running an advertisement, creating a film, or even maintaining a website—I-194 threatens extreme penalties, including the loss of legal protections that could expose Montanans to personal liability and put their personal assets at risk

Federal courts have already struck down twice similar laws as unconstitutional restrictions on free speech, and the result would be the same here. If I-194 passes, it will accomplish little beyond wasting Montana taxpayer dollars while it is tied up in court and ultimately struck down.

The United States Supreme Court has already decided that the government cannot directly ban a group of Montanans from engaging in political speech. In a famous case, a group of individuals wanted to show a documentary about a presidential candidate during a campaign, but federal law barred them because they acted through an organization rather than as a single individual. The group sued under the First Amendment. The Supreme Court decided that political speech during a campaign for public office is the core type of speech protected by the First Amendment and determined that the government banning a documentary about a candidate was a violation of free speech whether the documentary was made by an individual or a group of individuals. I-194 seeks to accomplish the same result of banning political speech during elections, not by directly banning it, but instead by imposing extreme penalties on any group of Montanans who choose to engage in free speech. The government cannot, and should not, be allowed to impose bans on free speech during elections, directly or indirectly, and for that reason Montanans should reject I-194 and vote no.

Rejection Committee: *David Knobel, Matthew Dolphay, Todd O'Hair, Representative Greg Overstreet, Dale Schowengerdt*

PROPONENTS' REBUTTAL OF ARGUMENTS AGAINST I-194:

Read the opposition statement and notice what it leaves out: Montana's experience with elections flooded and distorted by outside secret money with no regard for the truth nor issues Montanans face every day: healthcare, housing, taxes, schools, utility bills, and public lands. Instead, they resort to scare tactics in a twisted attempt to portray the defenders of unlimited "dark" money political spending as the underdogs and Montanans reclaiming their elections as the threat. It's the same old bait and switch Montanans have seen before.

Elections should be decided by the votes of Montanans, not the dark money spent by anonymous donors and corporations.

The opposition falsely claims that dark-money groups could continue spending as they do now. Another bait and switch. I-194 eliminates the power of all artificial persons—including 501(c)(4) dark-money groups—to spend money supporting or opposing candidates and ballot issues.

They also falsely suggest businesses and community groups could not even publish a website. That is absurd. They may speak, organize, publish, and advocate on any issue they choose. But, when they spend to support or oppose a candidate or ballot issue, they must do so through a transparent political committee so voters can see who funds the message. Small-business owners, church members, union members, employees, and nonprofit supporters keep their individual voices.

Ruggedly independent Montanans once stood up to the Copper Kings . . . and we can do so again by ending anonymous and corporate money in our elections.

I-194 serves the people of Montana.

Approval Committee: *Gary Buchanan, Marc Racicot*, *Raymond Jon Tester*

OPPONENTS' REBUTTAL OF ARGUMENTS FOR I-194:

"The Montana Plan" claims to end dark money and corporate influence in Montana elections. It does neither. It imposes sweeping, unconstitutional restrictions on the free-speech rights of Montana small businesses, churches, and community groups, while leaving untouched the out-of-state PACs and dark money that dominate Montana campaigns. I-194 is a sham.

Proponents have not identified a single Montana corporation that has spent money to influence a Montana election. Instead they point to Koch Industries and national super PACs — entities Montana has no power to regulate. Their "creature of state law" theory only works, by their own logic, for corporations Montana itself charters. The only entities I-194 actually restricts are Montana's own small businesses, ranches, churches, and community groups, exposed to steep penalties for speaking up.

Courts, including the U.S. Supreme Court, have already rejected this theory. In *First National Bank of Boston v. Bellotti*, the Court struck down a nearly identical Massachusetts law, holding the First Amendment protects political speech regardless of corporate source; *Citizens United v. FEC* reaffirmed it. I-194 asks voters to relitigate a settled question — and pay the legal bills when it loses again.

The irony: I-194's own campaign is bankrolled by dark money, much of it from out of state, funneled through the Transparent Election Initiative, a nonprofit that need not disclose its donors, with help from a Washington, D.C. advocacy group.

Montanans deserve real transparency, not a doomed measure that punishes local businesses while true outside spending goes untouched. Vote no on I-194.

Rejection Committee: *David Knobel, Matthew Dolphay, Todd O'Hair, Representative Greg Overstreet, Dale Schowengerdt*

What Your Vote Will Do

YES	A **YES** vote would **APPROVE** adding language to Montana law.
NO	A **NO** vote would make **NO CHANGE** to Montana law.